

Singapore: Assessing the risks from Middle East escalation

Implications of the Iran crisis and surging energy prices.

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Singapore is exposed to the current global energy shock due to its high import dependency, although risks are partly mitigated by diversified supply. It relies heavily on natural gas for electricity generation, accounting for >90% of the energy mix, with costs tied to oil prices by commercial contracts. Singapore's liquified natural gas (LNG) import mix is well distributed. Although Qatar accounted for ~25% share in volume terms as of 2024 (with some news sources citing >40% share in 2025), other key supply sources included Australia, Mozambique, and the US. Pipeline natural gas supplies from Indonesia and Malaysia, which together accounted for 43% of overall natural gas imports in 2025, provide an additional buffer. Singapore's direct goods exports exposure to the Middle East is limited, accounting for ~1.5% of the total in 2025. This suggests that a demand shock in the Middle East is unlikely to place significant downside pressure on exports.

Macroeconomic and policy implications

The global energy price shock in an event of a protracted Middle East conflict would likely raise Singapore's inflation more than it would depress economic growth, in our view. If Brent crude oil price remains at around USD100/bbl for the rest of the year, we estimate that Singapore's headline inflation could rise by around 1.5 percentage points (pp), while real GDP growth could be lowered by 0.4 pp (see *'Macro Insights Weekly: Asia's vulnerability to the Iran crisis' for additional analysis for other Asian economies*). Singapore has ample policy space to tackle the external shock from Middle East geopolitical uncertainty.

Click [here](#) to read the full report.



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